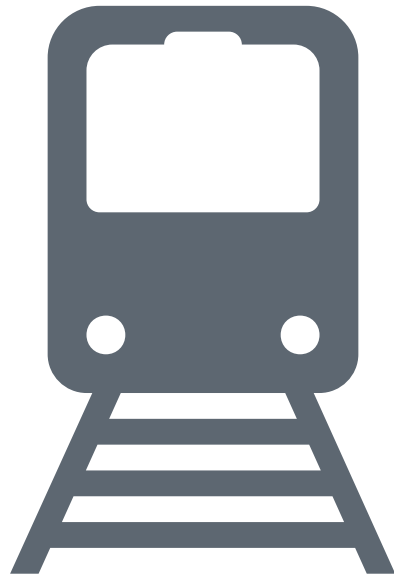


# *brightline*



Yogen Mudgal

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## **FINANCIAL RESTRUCTURING PROPOSAL**

PRESENTATION TO THE BOARD OF DIRECTORS

MAY 2026

|           |                                    |    |
|-----------|------------------------------------|----|
| CHAPTER 1 | COMPANY OVERVIEW                   | 3  |
| CHAPTER 2 | FINANCIAL AND OPERATIONAL ANALYSIS | 7  |
| CHAPTER 3 | STRATEGIC ALTERNATIVES             | 11 |
| CHAPTER 4 | CHAPTER 11 PROCESS                 | 14 |
| CHAPTER 5 | APPENDIX                           | 20 |

## COMPANY OVERVIEW

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# COMPANY OVERVIEW

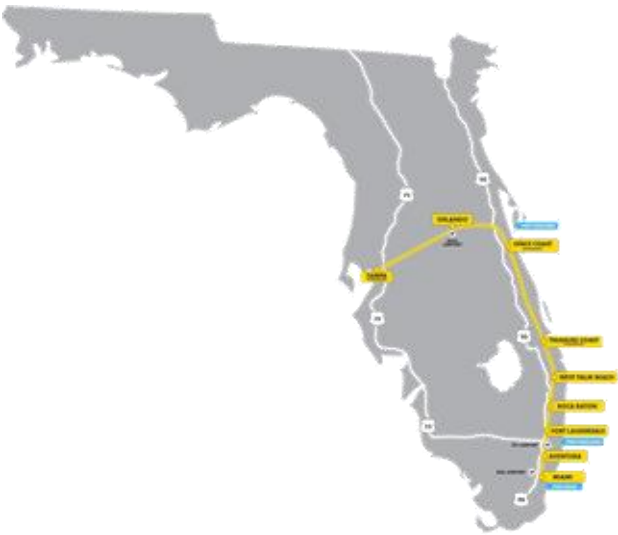
Brightline has shown remarkable ability to run an operationally and technically successful mass transit system in a state traditionally seen as highly car dependant. This has, however, not converted into it being a financial success story.

## SITUATION OVERVIEW

- Brightline Florida is facing an imminent liquidity shortfall projected for mid -to-late 2026, driven by systemic revenue underperformance and the delayed timeline of the Tampa expansion.
- Ridership, although strong, has been far lower than original management projections. There have also been capacity constraints in 2024, forcing the debtor to repeatedly sideline short-distance commuters.
- S&P lowered credit ratings for multiple companies within the corporate structure including the OpCo to ‘CCC’ citing risk of default and lowering revenue forecasts by as much as 82%.
- The company is encumbered by an unsustainable \$5,659mm debt structure. Due to recent credit downgrades and distress in bond pricing, capital markets and government funding are not viable options.
  - In addition to causing a liquidity crisis at the company, it is also hindering Brightline’s ability to begin work on the Tampa expansion, which is essential to support the company’s long-term viability.
- This deck evaluates strategic alternatives for the company and proposes a Pre-Packaged Chapter 11 Reorganization to execute a consensual debt-for-equity swap.
  - This will secure a \$75M New Money Facility (NMF), reinstate the \$1,133mm of the insured Munis, and equitise the uninsured Munis and Corporate bonds. Existing equity and other debt is wiped out.

## ASSET OWNERSHIP

- Fortress Investment Group (majority controlled by Mubadala Investment Company) is the ultimate controlling sponsor and equity holder.
- The entire debt load held within Brightline Florida Holdings LLC. Entities within this structure, except the OpCo (due to Subchapter IV of the Bankruptcy Code) will be subject to the restructuring.



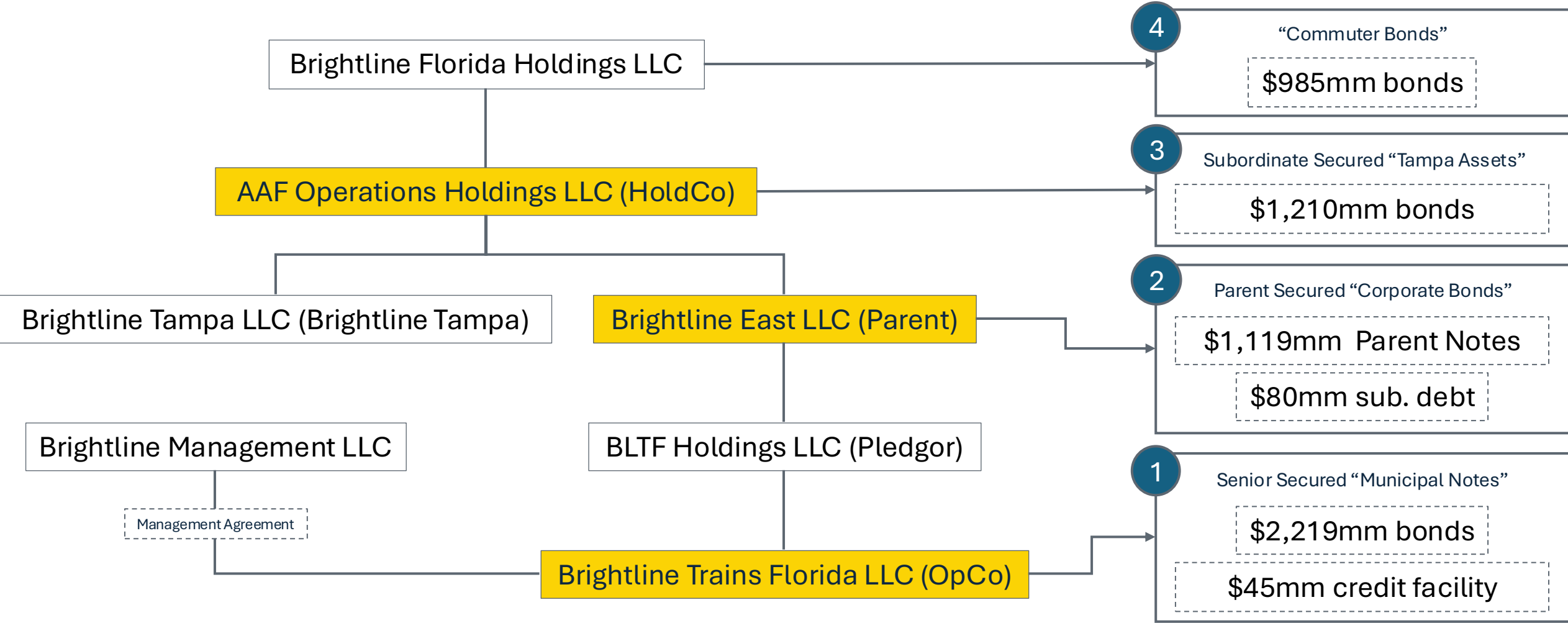
### Operational Overview

|                                       |                                       |
|---------------------------------------|---------------------------------------|
| <b>3.1 mm</b><br>Passenger in 2025    | <b>\$214 mm</b><br>Revenue in 2025    |
| <b>34 Trains</b><br>Operating per day | <b>253 miles</b><br>Operational Track |

Source: Brightline, S&P, Fitch, WLRN, US Bankruptcy Code

# CORPORATE STRUCTURE AND PREPETITION OBLIGATIONS

Brightline’s debt is spread across its corporate structure. Critically, the senior (municipal) debt is held at the OpCo level and is partially insured against default. Brightline West in Las Vegas is a different legal entity protected against recourse.



Source: Brightline Bond Disclosures, Fitch, Bloomberg

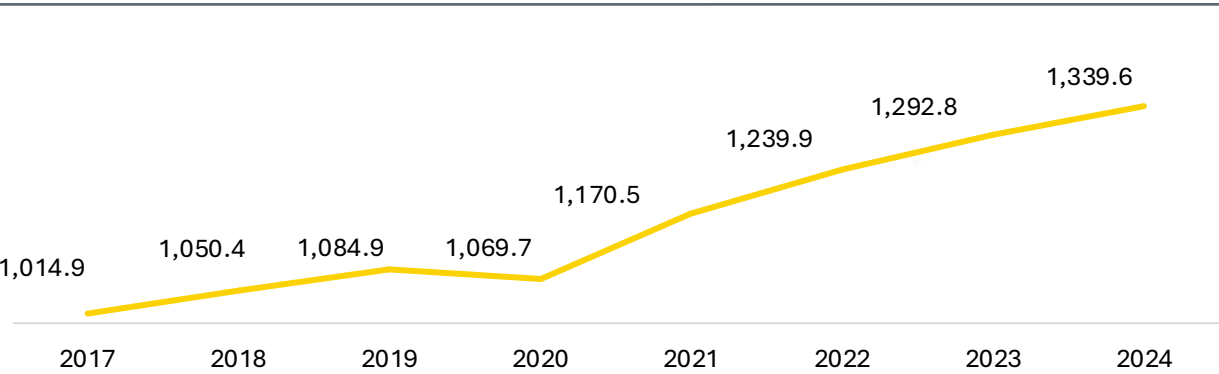
# RIDERSHIP GROWTH AND MACROECONOMIC TRENDS

Florida’s strong growth trajectory and the rebound in tourism post-pandemic has helped Brightline achieve record ridership. The Tampa expansion has been seen as critical to support future growth, but credit challenges undermine this.

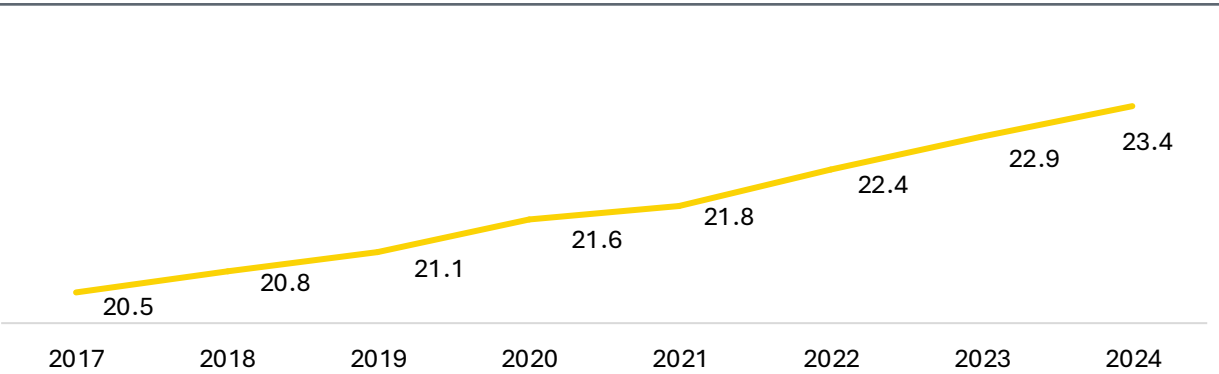
## RIDERSHIP GROWTH

- Ridership across the network has grown by over a third in past two years from 2mm in 2023 to 3.1 mm in 2025. The company also has completed its capacity upgrade in its rolling stock with an annual capacity between 4.8mm and 5mm passengers – likely the highest possible figure.
  - The company’s projections of 8mm riders cannot be reached. Inflation adjusted fares will also remain stagnant into the future with short-distance travel fixed at \$25 and long-distance at \$80 to keep the service competitive with driving and flying respectively.
  - There has been strong growth noted in ancillary revenue from food and luggage service. This will keep growing faster than core revenue.
- Legacy capital structure assumed Tampa cash flows would service the 2028 maturity wall. However, Tampa expansion is currently delayed to 2029+ pending heavy highway construction by the FDOT on the I-4 corridor.
  - Forecasts suggest the Tampa expansion could add between 1.5mm and 3mm extra annual riders by connecting the three largest metros in Florida; Miami, Orlando, and Tampa. Florida’s continuous population growth and above-trend RGDP growth support the expansion premise.
  - However, cost estimates of around \$3bn would make this project unlikely in the near future, even with state support.

FLORIDA REAL GDP (\$bn)



FLORIDA POPULATION (mm)



Source: Brightline, S&P, Fitch, WLRN, Florida Legislature’s Office of Economic and Demographic Research, Financial Times

## FINANCIAL AND OPERATIONAL ANALYSIS

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# FINANCIAL “STATUS QUO”

The value of the Debtor’s traded structurally subordinate “Parent Notes” has plummeted, driven by repeated downgrades by rating agencies. Brightline has already deferred some interest payments and elected to pay-in-kind.

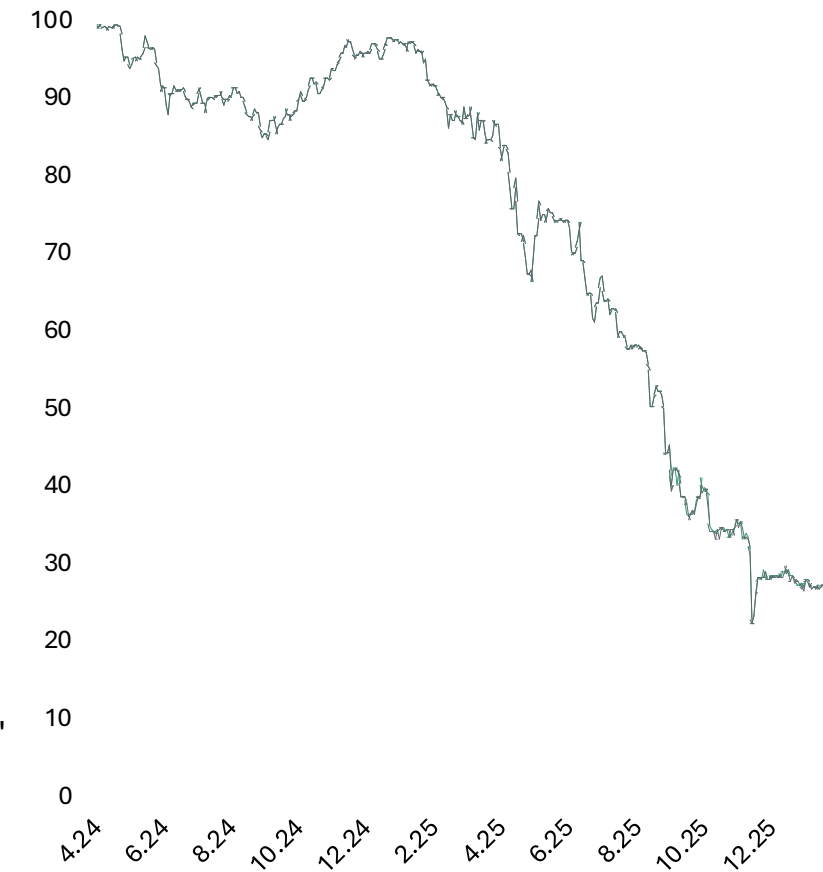
## DEFERRED PAYMENTS

- Brightline missed an interest payment on it’s HoldCo bonds in February 2026.
  - The bond are currently in a two-month "grace period," which has triggered a penalty 2% increase in the interest rate for a \$985mm portion of the debt.
  - Brightline disclosed in early 2026 that it is seeking to incur up to \$100mm in additional debt just to maintain liquidity for daily operations and cover potential legal outcomes.
  - The \$45mm Revolving Credit Facility will mature in May. Fitch and KBRA have warned that the Debtor lacks the funds to pay this back.
- Other corporate bonds are also highly distressed. Brightline has now deferred interest payments twice; in July 2025 and again in January 2026. A third deferment would amount to default.

## CREDITOR PROFILES

- Ownership of Brightline's debt has become concentrated among a few massive institutional players and opportunistic hedge funds. Assured Guaranty insured \$1,133mm of the Senior OpCo Bonds.
- The OpCo Munis mostly held by First Eagle, Nuveen and BlackRock are Trading near par for insured portions; uninsured trading lower.
  - Approximately \$920mm of the Florida municipal bonds are held by First Eagle.
- The \$1,119mm in Parent Notes are increasingly controlled by hedge funds specializing in "distressed" debt, represented by law firm HSF Kramer and currently crafting a restructuring plan.
  - They are exploring a "leapfrog" maneuver where they provide new financing to Brightline in exchange for elevating their own claims over other creditors

## VALUE OF “PARENT NOTES”





# DEBT MATURITY AND LIQUIDITY SCHEDULE

Unrestricted cash stood at \$1.4mm at year-end 2025 against \$133.5mm of annual operating usage. A succession of 2026 obligations, several already missed or bridged, leaves the company dependent on continued creditor accommodation.

## LIQUIDITY POSITION

- Unrestricted cash and cash equivalents: \$1.4mm.
- Restricted cash: \$136.9mm, entirely earmarked and unavailable for operations with \$117.4mm funded interest reserves, \$19.5mm other reserves.
- Total cash, cash equivalents, and restricted cash: \$138.3mm.
- FY2025 net cash used in operating activities: \$133.5mm.

## DEBT SERVICABILITY

- The company has serviced its obligations to date entirely through reserve draws, payment deferrals, and one-off bridge financing (including a \$22.2mm loan from Assured Guaranty in May 2026).
- Restricted cash cannot bridge the gap: funded interest reserves are contractually committed to specific bond interest payments and are not available for general operations.
- Every near-term obligation either has already been missed, deferred, or bridged at the time of this analysis, an evidence of deep distress.
- Auditors issued a going-concern qualification in the FY2025 audit, stating the company does not currently have the liquid funds necessary to service its debt and meet other obligations as they come due over the remainder of the year.

## TIMELINE

- 
- January: Senior Municipal bond interest payment made, funded by a draw on the debt service reserve account rather than operating cash
  - February: Commuter bond interest payment missed; two-month grace period entered; triggers a 2% step-up penalty rate on the \$985mm tranche
  - May: \$45mm Revolving Credit Facility matures
  - June: \$985mm Commuter bond mandatory tender comes due; bridge financing obtained to extend
  - July: Senior Municipal bond semi-annual interest payment due; Commuter bond payment also due
  - July: \$1,210mm AAF Operations Holdings (Jr. Muni) payment due
  - October: Projected liquidity shortfall absent a restructuring or new financing

# FUNDAMENTAL VALUE ANALYSIS

A projection of the company’s financials show that the equity is already worthless. In a base-case scenario, the company is worth just over \$528mm before factoring in the cost of restructuring. Further distress could render it perpetually insolvent.

| Simplified Cash Calculation       |              |              |             |            |            |            |            |            |
|-----------------------------------|--------------|--------------|-------------|------------|------------|------------|------------|------------|
| Periods                           | 2023         | 2024         | 2025        | 2026       | 2027       | 2028       | 2029       | 2030       |
| Revenue                           | \$ 87,663    | \$ 187,941   | \$ 214,034  | \$ 243,638 | \$ 268,748 | \$ 286,808 | \$ 299,056 | \$ 311,046 |
| Operating Expenses                | (173,751)    | (215,932)    | (200,772)   | (212,297)  | (215,068)  | (217,867)  | (223,256)  | (228,896)  |
| EBITDA                            | \$ (86,088)  | \$ (27,991)  | \$ 13,262   | \$ 31,342  | \$ 53,680  | \$ 68,941  | \$ 75,800  | \$ 82,150  |
| CapEx (Net of asset sales/grants) | (469,519)    | (252,324)    | (50,207)    | (20,000)   | (20,000)   | (20,000)   | (20,000)   | (20,000)   |
| Changes in Working Capital        | 136,344      | (3,860)      | (36,385)    | (5,000)    | (5,000)    | (5,000)    | (5,000)    | (5,000)    |
| Unlevered Free Cash               | \$ (419,263) | \$ (284,175) | \$ (73,330) | \$ 6,342   | \$ 28,680  | \$ 43,941  | \$ 50,800  | \$ 57,150  |
| Present Value of UFCF             |              |              |             | \$ 5,688   | \$ 23,069  | \$ 31,699  | \$ 32,868  | \$ 33,162  |

| WACC                    |       |
|-------------------------|-------|
| Cost of Equity          |       |
| Risk-Free Rate          | 4.4%  |
| Risk Premium            | 5.7%  |
| Unlevered Beta          | 0.72  |
| Total                   | 8.5%  |
| Distress Premium        |       |
| Distress Premium        | 3.0%  |
| Total Discount Rate (r) | 11.5% |

Notes:

(1) \$ in thousands. Detailed description and analysis shown in the valuation support file.

(2) These are simplified management accounts excluding D&A for comparability with the projection methodology. Refer to audited financial statements for GAAP figures.

(3) 2023-2024 UFCF: construction period CapEx and financing-related WC movements are not comparable to steady-state projections.

(4) WACC created based on assumptions of distress and risk factoring in transportation and tourism sectors.

(5) GGM built from three components: volume (+1.0%, grounded in the Census Bureau Florida migration data and Visit Orlando tourism statistics), fare/yield (+2.0%, tied to long-run CPI and the air competition pricing ceiling), and operating leverage (+0.3%, referencing Italo's mature corridor margins as the relevant benchmark rather than freight rail). Rounded down to 3.0% given distress.

| Terminal Value         |            |
|------------------------|------------|
| GGM Growth Rate (G)    | 3.0%       |
| Present Value of UFCF  | \$ 126,485 |
| Present Value of TV    | 401,844    |
| Total Enterprise Value | \$ 528,329 |

| Sensitivity (G/r) |         |         |       |         |       |         |    |         |    |         |
|-------------------|---------|---------|-------|---------|-------|---------|----|---------|----|---------|
| \$                | 528,329 | 9.5%    | 10.5% | 11.5%   | 12.5% | 13.5%   |    |         |    |         |
| 2.0%              | \$      | 628,538 | \$    | 546,836 | \$    | 482,539 | \$ | 430,666 | \$ | 387,970 |
| 2.5%              | \$      | 666,397 | \$    | 575,022 | \$    | 504,162 | \$ | 447,656 | \$ | 401,582 |
| 3.0%              | \$      | 710,080 | \$    | 606,965 | \$    | 528,329 | \$ | 466,434 | \$ | 416,490 |
| 3.5%              | \$      | 761,044 | \$    | 643,472 | \$    | 555,517 | \$ | 487,298 | \$ | 432,888 |
| 4.0%              | \$      | 821,274 | \$    | 685,595 | \$    | 586,330 | \$ | 510,617 | \$ | 451,013 |

## STRATEGIC ALTERNATIVES

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A federal/state bail-out is unlikely, especially given legal hurdles and the government's insistence that taxpayer funds will not be used to support Brightline. Equity Raising efforts have also floundered for Brightline.

### FEDERAL BAILOUT

- Federal rail grants (RRIF/BIL) are statutorily restricted to funding new CapEx (infrastructure construction). It is illegal to use them to bail out a broken balance sheet or pay off private bondholders.

### PUBLIC TAKEOVER/SALE TO AMTRAK

- Amtrak lacks the acquisition capital and requires a multi-year congressional appropriation. Furthermore, impaired Junior Creditors could block a "fire-sale" discount to a public entity.

### OUT-OF-COURT RESTRUCTURING (EXCHANGE OFFER)

- Mathematically infeasible due to the "Holdout Problem." An out-of-court process also cannot legally secure the super-priority status required to raise the \$200M in new bridge capital which is needed to study expansion and stabilise the business.
  - The profile of Brightline's lenders has shifted from long-term infrastructure investors to distressed-debt specialists and large municipal funds with significant leverage. If even one hedge fund refuses to agree to a haircut, they can block a private deal.

### NEW EQUITY RAISE: THE "GLOBAL PROCESS"

- Earlier this year, Brightline engaged in a failed attempt called a "global process" to find a new strategic partner. The goal was to raise fresh capital to pay down the most expensive, high-interest debt and build up cash reserves that are currently being drained.
  - New investors looked at the 2025 performance, where ridership and revenue were vastly below the original projections. This likely created valuation gaps as the equity is already worthless.
- Florida East Coast Railway (which owns some of the tracks) has sued Brightline, with disputes on maintenance and the commuter expansion phase. A bankruptcy process is the only way for the debtor to put an automatic stay on ongoing litigation, debt pursuit, and raise cash for maintenance.

Only the HoldCo and parent entities file under standard Chapter 11. The OpCo continues operating normally, preserving service continuity and avoiding mandatory trustee appointment as required by Subchapter IV of the Bankruptcy Code.

### FILING STRUCTURE

- Three entities file simultaneously under standard Chapter 11 with debtor-in-possession status retained by existing management:
  - Brightline Florida Holdings LLC; AAF Operations Holdings; Brightline East LLC
  - Brightline Trains Florida LLC (the OpCo) does not file. Its obligations remain outside the bankruptcy estate.
- The plan restructures ownership of that equity chain. New equity in the reorganised HoldCo is distributed to creditors, who become the indirect owners of the railroad. The OpCo bond obligations are managed post-emergence by those new owners on their own terms.
- The \$45mm Revolving Credit Facility remains at the OpCo level. It does not require retirement from NMF proceeds. The RCF lender cannot cross-default to the Sr. Muni bonds given the \$100mm cross-default threshold, and the contract provides for a further one-year extension subject to lender approval.
- The commuter access rights collateralising the \$985mm Commuter bonds are valued independently on a binary basis. An arbitration victory over FECR produces an asset worth \$350–400mm at a 12% cap rate on aggregate county payments. An adverse arbitration outcome produces zero. This asset does not enter the OpCo waterfall and does not affect the plan.

### VALUATION RANGE AND PLAN ANCHOR

- Two methodologies are used, reflecting the company's transition from distressed ramp-phase to stabilised infrastructure asset:
  - DCF - \$528mm: Built bottom-up from audited FY2025 financials, ridership data, and base case assumptions. Reflects current distressed profile.
  - Multiple-based - \$1,004mm: CreditSights analysis applying 15x short-haul, 20x long-haul, and 8x ancillary EBITDA multiples to stabilised 2027 estimates. This reflects what a proven, deleveraged infrastructure asset commands in the market once operational risk is removed. This is the value the new equity holders are underwriting.
- The DCF valuation is the plan's anchor. Post-emergence debt is sized to what base case UFCF can sustain; \$1,133mm of reinstated insured municipal bonds only. UFCF approaches full coverage of the \$58mm annual interest obligation by 2030. The \$106mm AGM bridge bridges the shortfall through that period. Every dollar of upside above the base case accrues entirely to equity.

## CHAPTER 11 PROCESS

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# CREDITOR NEGOTIATIONS

A pre-packaged HoldCo restructuring is the preferred path for all involved parties. The credible alternative of an OpCo railroad bankruptcy filing creates sufficient consequences for all parties to ensure a consensual outcome.

## DUAL-TRACK APPROACH

- The restructuring is structured as a dual-track process:
  - Track A, the preferred path, is a pre-packaged Chapter 11 filing of the HoldCo and parent entities only.
  - Track B is a forcing mechanism with a full OpCo filing under Subchapter IV of the Bankruptcy Code, which triggers mandatory trustee appointment and railroad-specific bankruptcy rules.
- Subchapter IV mandates appointment of a DoT-nominated trustee, removing existing management from control upon filing.
- Contested railroad bankruptcies historically take 3–5 years and professional fees in a contested case could consume \$150–200mm of value.
- Preference and fraudulent conveyance scrutiny of prepetition transactions, including the 2024 Tampa asset sale and 2025 parking garage sale-leaseback could become material litigation risks for Fortress.
- AGM is an active restructuring participant, not a passive insurer. In May 2026, AGM provided a \$22.2mm senior secured bridge loan directly to the OpCo, used to fund operating expenses and prefund the interest reserve ahead of the July 1<sup>st</sup> payment without bondholder consent, establishing precedent and demonstrating willingness for the bridge structure.
  - AGM's CEO has stated the company does not view Brightline as a loss situation and is comfortable with equity ownership of the railroad.

## TRACK A AND B OUTCOMES

| PARTY                  | TRACK A OUTCOME                                 | TRACK B OUTCOME                           |
|------------------------|-------------------------------------------------|-------------------------------------------|
| AGM / Insured Sr. Muni | Clean reinstatement; bridge converts to equity  | Untested railroad bankruptcy mechanics    |
| Uninsured Sr. Muni     | Equity in deleveraged company                   | Contested process; lower expected returns |
| BRIEAS / NMF providers | \$75mm NMF converts to equity; bonds discharged | Extended duration; value erosion          |
| Jr. Muni holders       | Tampa stub equity; defined outcome              | Same stub but delayed by years            |
| Fortress / Sponsor     | Managed exit; 90-day transition                 | Loss of operational control day one       |
| Operations             | Continuity throughout; no service disruption    | Trustee mandate to maintain service       |

Source: Brightline, Fitch, US Bankruptcy Code

# RECOVERY ANALYSIS

Even the most optimistic valuation confirms that equity is worthless, and existing debt is deeply impaired below the Senior Municipal level. This plan aims to provide every creditor class a better outcome than a contested liquidation.

## DUAL-TRACK APPROACH

| Capital Class       | Face Value | Priority            | Recovery | Plan Treatment                                                            |
|---------------------|------------|---------------------|----------|---------------------------------------------------------------------------|
| NMF Providers       | \$75mm     | Super-priority      | 100%     | Converts to 30% equity at emergence                                       |
| Insured Munis       | \$1,133mm  | Senior-secured      | 100%     | Reinstated at par; AGM guarantee preserved but insurance is not triggered |
| Uninsured Sr. Munis | \$1,086mm  | Senior-secured      | 19-37%   | Consensual out-of-court exchange; 40% new equity                          |
| BRIEAS Corps        | \$1,119mm  | Structurally junior | -        | Discharged; NMF provides bridge economics + 30% equity                    |
| Subordinated Debt   | \$80mm     | Contractually sub.  | -        | Discharged; no recovery                                                   |
| Jr. Munis           | \$1,210mm  | Junior              | -        | Discharged; Tampa ProjectCo stub                                          |
| Commuter Bonds      | \$985mm    | Separate Collateral | Binary   | Reinstated against commuter rights assets if arbitration succeeds         |
| Equity              | -          | Residual            | -        | Cancelled and extinguished                                                |

Source: Brightline, Fitch, Bloomberg



# PRO FORMA CAPITAL STRUCTURE

The restructuring will cure the debt overhang and deleverage the company with aim to return to market and make Brightline a viable candidate for highly subsidized Federal RRIF loans to ultimately fund the Tampa expansion in a ringfenced ProjectCo.

## NEW EQUITY DISTRIBUTION

| Holder                     | Equity | Basis                                              |
|----------------------------|--------|----------------------------------------------------|
| Uninsured Sr. Muni holders | 40%    | Consensual out-of-court exchange                   |
| BRIEAS / NMF providers     | 30%    | \$75mm NMF converts to equity; bonds discharged    |
| AGM                        | 25%    | \$106mm OpCo bridge converts to equity             |
| Management incentive pool  | 5%     | New equity incentive plan for operating management |

## DEBT REDUCTION

|                        |           |           |
|------------------------|-----------|-----------|
| Total Debt             | \$5,659mm | \$1,133mm |
| Annual Interest        | \$310mm   | \$58mm    |
| Debt/2027 EBITDA       | 105x      | 21x       |
| Interest Coverage 2027 | 0.17x     | 0.49x     |
| Interest Coverage 2029 | 0.25x     | 0.88x     |

## DEBT SERVICABILITY

- Post-emergence debt consists solely of the reinstated insured bonds: \$1,133mm at 5.12% generating \$58mm of annual interest. The HoldCo NMF converts to equity at emergence, leaving no additional post-emergence debt service.
  - Total debt reduces from \$5,659mm to \$1,133mm. Annual interest reduces from ~\$310mm to \$58mm.
- Base case UFCF grows from \$6.3mm in 2026 to \$57.2mm by 2030, reaching near-full coverage of the \$58mm insured bond interest obligation. The \$106mm AGM OpCo bridge, drawn semi-annually as needed, funds the interim shortfall on each payment date through 2030. AGM's \$22.2mm May 2026 loan to the OpCo establishes the legal and operational precedent for this structure.
- Every dollar of UFCF above the base case accrues entirely to equity. The upside belongs to the new owners. Tampa stub preserves optionality on a \$3bn+ potential project at no cost to the plan. The commuter outcome is determined entirely by the FECR arbitration.

Source: Brightline, Fitch, Bloomberg, WLRN. Note: Post-petition Interest Coverage calculated on UFCF; pre-petition on EBITDA..

# PROCESS AND TIMELINE

A pre-packaged filing with a pre-negotiated RSA targets emergence in 5 months. The RSA toggle provision ensures the timeline is creditor-driven — cooperation accelerates emergence; holdouts trigger Track B.

## PRE-FILING REQUIREMENTS

- ✓ Negotiate AGM bridge facility and convert the existing \$22.2mm May 2026 OpCo loan into a structured \$106mm committed bridge, drawn semi-annually through 2030, converting to 25% HoldCo equity at plan effectiveness.
- ✓ Negotiate reinstatement mechanics with AGM simultaneously
- ✓ Negotiate and execute RSA with BRIEAS ad hoc group with a \$75mm convertible NMF commitment. Key holders: Davis Polk-represented ad hoc group. NMF converts to 30% equity at emergence.
- ✓ Engage uninsured Sr. Muni ad hoc committee with equity recovery analysis versus contested liquidation. Key holders: First Eagle (~\$920mm), Nuveen (~\$920mm), Invesco. Track B consequences are the primary negotiating lever: ~16 cents in contested Subchapter IV versus 19–37% of face via plan.
- ✓ Obtain Commuter bond forbearance on the July 1 payment deadline.
- ✓ File three HoldCo petitions simultaneously once RSA threshold is met.

## RSA TOGGLE: THE FORCING MECHANISM

- If less than 66.6% of uninsured Sr. Muni holders execute the RSA by the voting deadline, the filing automatically toggles to include Brightline Trains Florida LLC under Subchapter IV.
  - This provision is contractual and mechanical. It is not a negotiating ploy, but rather the consequence of failed consensus.

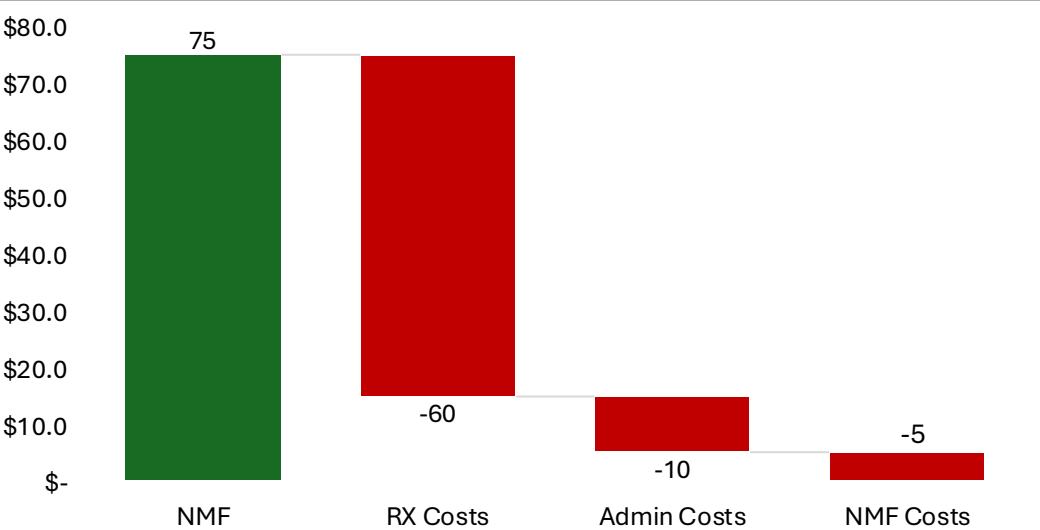
## TIMELINE

- 
- Day 1: File petitions; file RSA; automatic stay on all HoldCo obligations.
  - Day 7–10: First day hearing.
  - Day 30: Plan and disclosure statement filed.
  - Day 60: Disclosure statement hearing.
  - Day 90: Voting deadline.
  - Day 120: Confirmation hearing
  - Post-petition: Plan effective date. HoldCo NMF converts to 30% equity. AGM bridge converts to 25% equity. New equity issued. RCF remains at OpCo. Fortress equity cancelled.
  - OpCo continues operating throughout with no service disruption at any point in the process.

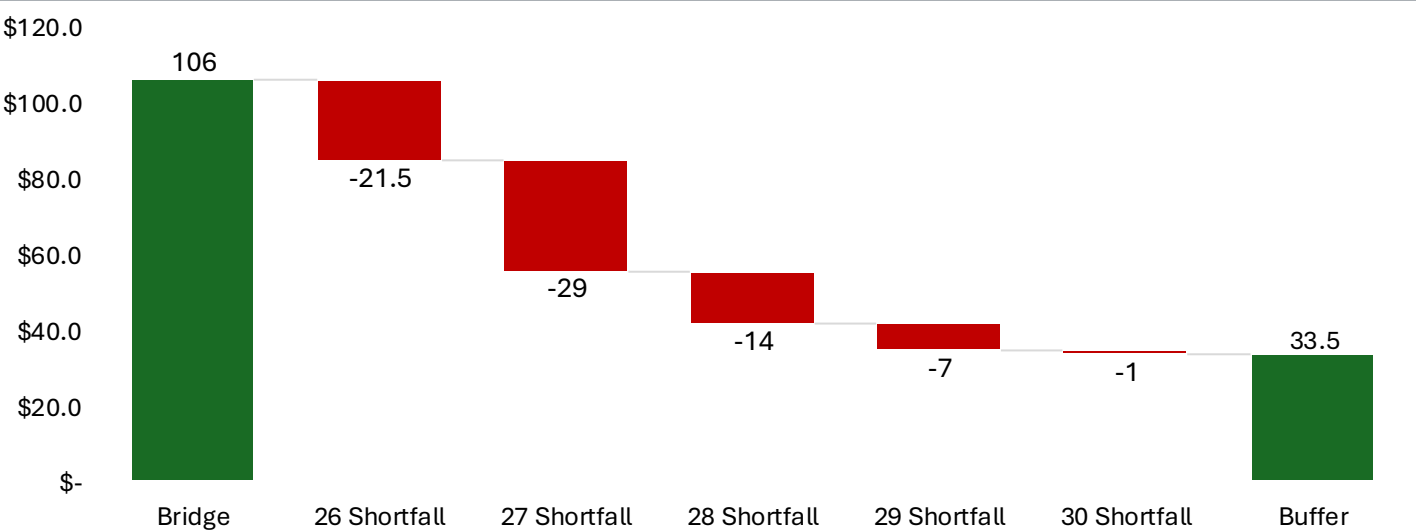
# SOURCES AND USES OF FUNDS

The \$75mm HoldCo NMF covers case costs at the filing entities and converts to equity at emergence. The \$106mm AGM OpCo bridge covers the interim shortfall between UFCF and insured bond interest at the operating company level.

NMF FACILITY (\$mm)



AGM BRIDGE (\$mm)



## PROFESSIONAL FEES

- \$60mm is budgeted for professional fees, reflecting the complexity of a multi-class capital structure with insured municipal bonds, a monoline insurer, and multiple creditor committees.
  - This is based on comparable cases: Energy Future Holdings (\$95mm fees), Frontier Airlines (\$48mm fees), iHeart Media (\$85mm fees). A pre-packaged structure with a pre-negotiated RSA targeting 5-month emergence materially reduces this figure relative to a contested case.
- The \$45mm RCF remains at the OpCo outside the bankruptcy estate and is not a use of NMF proceeds. The \$22.2mm AGM loan (7.5%, due November 2026) is the first tranche of the \$106mm bridge and is superseded by that commitment.

Source: Brightline, Bloomberg, Bond Buyer

# APPENDIX

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# FUNDAMENTAL VALUE ANALYSIS – BEST CASE

In a best-case scenario, the company is worth \$1,312mm and reaches full debt service coverage by 2027, requiring only a brief bridge in the transition year.

| Simplified Cash Calculation       |              |              |             |            |            |            |            |            |
|-----------------------------------|--------------|--------------|-------------|------------|------------|------------|------------|------------|
| Periods                           | 2023         | 2024         | 2025        | 2026       | 2027       | 2028       | 2029       | 2030       |
| Revenue                           | \$ 87,663    | \$ 187,941   | \$ 214,034  | \$ 257,349 | \$ 302,227 | \$ 341,955 | \$ 369,166 | \$ 397,699 |
| Operating Expenses                | (173,751)    | (215,932)    | (200,772)   | (212,297)  | (215,068)  | (217,867)  | (223,256)  | (228,896)  |
| EBITDA                            | \$ (86,088)  | \$ (27,991)  | \$ 13,262   | \$ 45,052  | \$ 87,159  | \$ 124,089 | \$ 145,911 | \$ 168,803 |
| CapEx (Net of asset sales/grants) | (469,519)    | (252,324)    | (50,207)    | (20,000)   | (20,000)   | (20,000)   | (20,000)   | (20,000)   |
| Changes in Working Capital        | 136,344      | (3,860)      | (36,385)    | (5,000)    | (5,000)    | (5,000)    | (5,000)    | (5,000)    |
| Unlevered Free Cash               | \$ (419,263) | \$ (284,175) | \$ (73,330) | \$ 20,052  | \$ 62,159  | \$ 99,089  | \$ 120,911 | \$ 143,803 |
| Present Value of UFCF             |              |              |             | \$ 17,984  | \$ 49,998  | \$ 71,483  | \$ 78,228  | \$ 83,444  |

| WACC                    |       |
|-------------------------|-------|
| Cost of Equity          |       |
| Risk-Free Rate          | 4.4%  |
| Risk Premium            | 5.7%  |
| Unlevered Beta          | 0.72  |
| Total                   | 8.5%  |
| Distress Premium        | 3.0%  |
| Total Discount Rate (r) | 11.5% |

Notes:

(1) \$ in thousands. Detailed description and analysis shown in the valuation support file.

(2) These are simplified management accounts excluding D&A for comparability with the projection methodology. Refer to audited financial statements for GAAP figures.

(3) 2023-2024 UFCF: construction period CapEx and financing-related WC movements are not comparable to steady-state projections.

(3) WACC created based on assumptions of distress and risk factoring in transportation and tourism sectors.

(4) GGM built from three components: volume (+1.0%, grounded in the Census Bureau Florida migration data and Visit Orlando tourism statistics), fare/yield (+2.0%, tied to long-run CPI and the air competition pricing ceiling), and operating leverage (+0.3%, referencing Italo's mature corridor margins as the relevant benchmark rather than freight rail). Rounded down to 3.0% given distress.

| Terminal Value         |              |
|------------------------|--------------|
| GGM Growth Rate (G)    | 3.0%         |
| Present Value of UFCF  | \$ 301,137   |
| Present Value of TV    | 1,011,143    |
| Total Enterprise Value | \$ 1,312,280 |

| Sensitivity (G/r) |           |           |       |           |       |           |    |           |    |           |
|-------------------|-----------|-----------|-------|-----------|-------|-----------|----|-----------|----|-----------|
| \$                | 1,312,280 | 9.5%      | 10.5% | 11.5%     | 12.5% | 13.5%     |    |           |    |           |
| 2.0%              | \$        | 1,563,405 | \$    | 1,358,345 | \$    | 1,197,061 | \$ | 1,067,021 | \$ | 960,054   |
| 2.5%              | \$        | 1,658,668 | \$    | 1,429,267 | \$    | 1,251,470 | \$ | 1,109,771 | \$ | 994,305   |
| 3.0%              | \$        | 1,768,587 | \$    | 1,509,645 | \$    | 1,312,280 | \$ | 1,157,021 | \$ | 1,031,817 |
| 3.5%              | \$        | 1,896,825 | \$    | 1,601,506 | \$    | 1,380,692 | \$ | 1,209,522 | \$ | 1,073,081 |
| 4.0%              | \$        | 2,048,379 | \$    | 1,707,499 | \$    | 1,458,225 | \$ | 1,268,199 | \$ | 1,118,688 |

# FUNDAMENTAL VALUE ANALYSIS – WEAK CASE

A projection of the company’s financials show that the equity is already worthless. In a weak-case scenario, the company is rendered perpetually insolvent. The relatively fixed cost base means nationalization may be the only feasible option here.

| Simplified Cash Calculation       |              |              |             |             |            |            |             |             |
|-----------------------------------|--------------|--------------|-------------|-------------|------------|------------|-------------|-------------|
| Periods                           | 2023         | 2024         | 2025        | 2026        | 2027       | 2028       | 2029        | 2030        |
| Revenue                           | \$ 87,663    | \$ 187,941   | \$ 214,034  | \$ 226,803  | \$ 235,424 | \$ 237,562 | \$ 234,737  | \$ 231,953  |
| Operating Expenses                | (173,751)    | (215,932)    | (200,772)   | (212,297)   | (215,068)  | (217,867)  | (223,256)   | (228,896)   |
| EBITDA                            | \$ (86,088)  | \$ (27,991)  | \$ 13,262   | \$ 14,506   | \$ 20,356  | \$ 19,696  | \$ 11,481   | \$ 3,057    |
| CapEx (Net of asset sales/grants) | (469,519)    | (252,324)    | (50,207)    | (20,000)    | (20,000)   | (20,000)   | (20,000)    | (20,000)    |
| Changes in Working Capital        | 136,344      | (3,860)      | (36,385)    | (5,000)     | (5,000)    | (5,000)    | (5,000)     | (5,000)     |
| Unlevered Free Cash               | \$ (419,263) | \$ (284,175) | \$ (73,330) | \$ (10,494) | \$ (4,644) | \$ (5,304) | \$ (13,519) | \$ (21,943) |
| Present Value of UFCF             |              |              |             | \$ (9,411)  | \$ (3,735) | \$ (3,826) | \$ (8,747)  | \$ (12,733) |

| WACC                    |       |
|-------------------------|-------|
| Cost of Equity          |       |
| Risk-Free Rate          | 4.4%  |
| Risk Premium            | 5.7%  |
| Unlevered Beta          | 0.72  |
| Total                   | 8.5%  |
| Distress Premium        | 3.0%  |
| Total Discount Rate (r) | 11.5% |

Notes:

(1) \$ in thousands. Detailed description and analysis shown in the valuation support file.

(2) These are simplified management accounts excluding D&A for comparability with the projection methodology. Refer to audited financial statements for GAAP figures.

(3) 2023-2024 UFCF: construction period CapEx and financing-related WC movements are not comparable to steady-state projections.

(3) WACC created based on assumptions of distress and risk factoring in transportation and tourism sectors.

(4) GGM built from three components: volume (+1.0%, grounded in the Census Bureau Florida migration data and Visit Orlando tourism statistics), fare/yield (+2.0%, tied to long-run CPI and the air competition pricing ceiling), and operating leverage (+0.3%, referencing Italo's mature corridor margins as the relevant benchmark rather than freight rail). Rounded down to 3.0% given distress.

| Terminal Value         |              |
|------------------------|--------------|
| GGM Growth Rate (G)    | 3.0%         |
| Present Value of UFCF  | \$ (38,453)  |
| Present Value of TV    | (154,289)    |
| Total Enterprise Value | \$ (192,742) |

| Sensitivity (G/r) |           |           |       |           |       |           |    |           |    |           |
|-------------------|-----------|-----------|-------|-----------|-------|-----------|----|-----------|----|-----------|
| \$                | (192,742) | 9.5%      | 10.5% | 11.5%     | 12.5% | 13.5%     |    |           |    |           |
| 2.0%              | \$        | (230,405) | \$    | (199,450) | \$    | (175,161) | \$ | (155,627) | \$ | (139,602) |
| 2.5%              | \$        | (244,941) | \$    | (210,272) | \$    | (183,463) | \$ | (162,150) | \$ | (144,828) |
| 3.0%              | \$        | (261,713) | \$    | (222,536) | \$    | (192,742) | \$ | (169,360) | \$ | (150,552) |
| 3.5%              | \$        | (281,281) | \$    | (236,553) | \$    | (203,181) | \$ | (177,371) | \$ | (156,848) |
| 4.0%              | \$        | (304,406) | \$    | (252,727) | \$    | (215,012) | \$ | (186,325) | \$ | (163,807) |